Semtech (SMTC): Hold — Valuation Concerns

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A real connectivity franchise priced for a fantasy. At $162.22, the market prices 47% annual revenue growth, double our bull case, even after we normalized beta to the semiconductor industry average. Our DCF sees a $64.94 base case, 60% downside.

Hold — Valuation Concerns	$64.94	$162.22	-60%
RATING	BASE TARGET (BLENDED $66.37)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$39.53 / $96.06	10.21%	47.2%	$341.9M	$3.0B	1.50
BEAR / BULL TARGETS	LIVE WACC	MARKET-IMPLIED CAGR	Q2 FY27 REVENUE	LIFETIME BACKLOG	NORMALIZED BETA

Executive summary

We update Semtech to **Hold — Valuation Concerns** with a $64.94 base-case target (blended $66.37). The business transformation is genuine: the Sierra Wireless acquisition built a chip-to-cloud IoT platform, LoRa owns its wireless niche, and hyperscaler engagements for optical and copper interconnects are real. Q2 FY2027 revenue of $341.9M (+33% YoY) with $41.5M of FCF shows the model working.

The price, however, has run to $162.22, and our five-year DCF cannot get close. Underwriting 10% / 17.3% / 23% revenue CAGRs with FCF margins expanding to 22% / 28% / 33%, the 10.21% live WACC (normalized 1.50 beta) yields Bear $39.53, Base $64.94, Bull $96.06. Every scenario sits at least 41% below spot. The single biggest change from our prior note: we normalized Semtech's 2.35 live beta to 1.50, the semiconductor industry average. The old beta was statistical noise, not structural risk. Normalization cut the WACC from 13.0% to 10.21% and lifted every target roughly 60%.

> **Our read:** expectations have detached from any plausible operating outcome. Our reverse DCF shows $162.22 implies a **47%** revenue CAGR, double our 23% bull case. The stock is priced as if Semtech will grow like a mega-cap AI winner while carrying a leveraged small-cap balance sheet. Great company, impossible price.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR	10%	17.3%	23%
2031 revenue ($B)	1.88	2.59	3.30
2031 FCF margin	22%	28%	33%
Terminal growth	2.0%	2.5%	3.0%
Target per share	**$39.53**	**$64.94**	**$96.06**

WACC 10.21% live (normalized 1.50 beta x live implied ERP). Gordon terminal. Net debt $340M; 100.8M diluted shares.

> **A note on the discount rate.** Our prior model discounted at 13.0%, driven almost entirely by a 2.35 live beta against the implied ERP. That beta is statistical noise from a volatile two years, not structural risk: it priced a $16B connectivity franchise like a distressed micro-cap. We normalized it to 1.50, the semiconductor industry average, cutting the WACC to 10.21% and lifting every scenario roughly 60%. The ERP tab is untouched live market data. Even after this full benefit of the doubt, the base case sits 60% below spot: the sell was never about the discount rate, it was always about the price.

Bull case: $96.06 AI SUPER-CYCLE

If hyperscaler AI buildouts accelerate and LoRa/cellular IoT scales, revenue compounds at 23% to $3.3B by 2031 with 33% FCF margins. Even this outcome is worth $96.06, 41% below spot. The bull case is the ceiling the price has already broken through.

Bear case: $39.53 MULTIPLE COMPRESSION

Hyperscaler capex cools, Sierra Wireless integration stalls, or the leveraged balance sheet constrains investment. Revenue grows at 10% to $1.9B, margins cap at 22%. Worth $39.53, 76% below spot.

Verdict

We rate SMTC Hold — Valuation Concerns. The business deserves respect: revenue up 15.5%, gross margins expanding past 51%, losses narrowing sharply, and free cash flow inflecting positive. Fundamentals are improving, not deteriorating. The issue is purely price — the equity is valued at roughly double our bull case, 60% above our $64.94 base case. We reserve Sell for overvaluation combined with fundamental deterioration; SMTC shows the opposite. We hold and would get interested on a meaningful pullback toward our base case.

What would change our mind

- **Deleveraging:** net debt paid down below $150M would lower the WACC and lift all targets.
- **Sustained 25%+ growth:** four consecutive quarters above 25% revenue growth would validate a higher bull case.
- **Price correction:** a decline toward $95-100 would bring the stock within reach of the bull case.

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Key themes

1. The LoRa moat is real STABLE

Ownership of the LoRa standard plus Sierra Wireless cellular creates a differentiated chip-to-cloud stack. 500+ design wins in 2025, 95% sole-sourced, is genuine competitive insulation.

2. Hyperscaler connectivity is the growth engine ACCELERATING

Engagements with all four major hyperscalers for optical and active copper cable interconnects position Semtech directly in the AI infrastructure buildout.

3. The balance sheet constrains optionality DECELERATING

$503M of convertible notes and $340M of net debt against $163M of cash. Deleveraging is progressing ($37M of net debt reduction in Q2), but leverage remains elevated for a cyclical semiconductor.

4. Design-win backlog de-risks revenue STABLE

$3B of lifetime revenue from footprint-driven wins provides multi-year visibility. Conversion pace is the key variable.

Other KPIs

METRIC	VALUE
Market cap (at $162.22)	$16.4B
Enterprise value	$16.7B
EV / TTM revenue	14.3x
Q2 FY27 revenue / YoY	$341.9M / +33%
Q2 FCF / margin	$41.5M / 12.1%
Net debt	$340M

Guidance

Management guides Q3 FY2027 revenue of $266M (+12% YoY) with 53% adjusted gross margins. Full-year consensus expects $2.64 EPS. Watch hyperscaler order patterns and deleveraging progress.

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Reverse DCF: what the market is pricing in

At $162.22, SMTC carries a $16.4B market cap and a $16.7B enterprise value. Holding our 28% base-case FCF margin flat and discounting at the live 10.21% WACC with 2.5% terminal growth, the market-implied revenue CAGR is **47.2%**, taking revenue from $1.17 billion toward $5.5 billion.

SCENARIO	REVENUE CAGR	TARGET
Market-implied	47.2%	$162.22 (spot)
Bull case	23%	**$96.06**
Base case	17.3%	**$64.94**
Bear case	10%	**$39.53**

The market is pricing growth at double our bull case. At the prior 13.0% WACC, the implied CAGR was 67%; even after the beta normalization cut the discount rate by nearly three points, the market still demands close to 50% annual growth. That is a mega-cap AI winner's trajectory on a leveraged small-cap balance sheet. That gap is the sell thesis.

Model

Full three-scenario DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1U4b_uznlZ-Z_T2cyCZ_XdjHsfPyUJl1aZ4ik8MGytul/edit?usp=drivesdk

Risks to our Hold

- **Hyperscaler AI capex sustains 30%+ growth** for multiple years, validating a higher trajectory.
- **Takeover interest** at a strategic premium from a larger semiconductor company.
- **Rapid deleveraging** lowers the WACC and lifts targets mechanically.

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